Claims Payment Policy

Subject: Preventable Inpatient Readmission Review

Application: Medicare Advantage and Medicaid Products
Policy number: CP2015006
Related policies: Preventable Subsequent Observation Stay Review

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Overview

This policy outlines Humana's preventable inpatient readmission review standards.

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Medicare Advantage and Medicaid Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

The following policy applies to facility services only. For Humana Medicaid plans, this policy applies except when not permissible by state Medicaid guidelines.

General Readmission Review Requirements

All readmissions, to the *same facility*, reimbursed using *Diagnosis Related Group (DRG*) methodology are subject to review to determine if the readmission was preventable.

Preventable Readmissions

If Humana determines that a readmission was preventable, Humana does not allow payment for the second admission since reimbursement for the first admission includes reimbursement for the second admission.

The following are examples of preventable readmissions. This is not an all-inclusive list:

- Premature discharge that resulted in a readmission. This is based on information that the provider or physician knew, or should have known, at the time of discharge.
- Care rendered during the second admission that should have occurred during the first admission.
- An inappropriate transfer.
- A readmission that was not medically necessary.
- A readmission that is an attempt to circumvent Inpatient Prospective Payment System (IPPS) payment.

Separately Payable Admissions

If Humana determines that a subsequent admission was not preventable or was unrelated to the prior admission, Humana may allow separate payment for each admission.

The following are examples of admissions that may be separately payable:

- An admission that is due to a reoccurrence of a chronic condition and is not a continuation of the previous episode's admission.
- An unrelated readmission, including an unrelated same-day readmission.

Facilities cannot be held responsible for readmissions beyond their control, which may include, but are not limited to, the following:

- Failure of the patient to follow discharge instructions. This requires documentation that instructions were properly communicated to a patient or caregiver who was both not impaired and capable of following the instructions.
- A condition caused by post-care services provided beyond the facility's control.
- A readmission after the patient left the *same facility* against medical advice.

Nonpreventable Readmissions

Humana does not allow payment for the following types of readmissions since they are required to be reimbursed as part of the prior admission:

- A planned readmission.
- A readmission after a leave of absence.
- A same-day related readmission.

Definitions of *Italicized* Terms

- ***Diagnosis Related Group (DRG)***: Under IPPS, each inpatient admission is categorized into a case which is called a DRG. Each DRG has a payment weight assigned to it, based on the average resources used to treat Medicare patients in that DRG.
- ***Same facility***: Is an entity that owns or controls the facility for the first admission, an entity owned or controlled by the facility for the first admission, or an entity that is under common ownership or control as the facility for the first admission.

References

- Social Security Administration website. Social Security Act. Title 18, Section 1886. Payment to Hospitals for Inpatient Hospital Services. www.ssa.gov.
- Centers for Medicare & Medicaid Services website. Quality Improvement Organizations Manual. Chapter 4 – Case Review. Sections 4240 and 4255. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 3 – Inpatient Hospital Billing. Sections 40.2.5 and 40.2.6. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Transmittal 266, Change Request 3389. www.cms.gov.
- Centers for Medicare & Medicaid Services website. MLN Matters® Number: MM3389. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Hospital-Wide (All-Condition) 30 Day Risk-Standardized Readmission Measure. www.cms.gov.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.
- Publications – This page can help you find our quarterly newsletter, provider manual and other resources to help you do business with us.

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